STATUTORY COMPLIANCE & LEGAL GOVERNANCE

Sri Lanka Statutory Payroll Compliance Checklist

A practical reference manual detailing Employee Provident Fund (EPF), Employee Trust Fund (ETF), and Advance Personal Income Tax (APIT) withholding computations under Sri Lankan labor laws.

CLASSIFICATION	Statutory Compliance	RELEASE VERSION	v2.4.0 (Enterprise)
AUTHOR / TEAM	Nexus Legal & Financial Audit Group	EFFECTIVE DATE	October 2026
TARGET AUDIENCE	HR Managers, Payroll Officers, Finance Directors, Auditors	STATUS	Official Production Ready

1. Sri Lanka Labor Legal Framework Overview

All commercial employers in Sri Lanka are legally bound by the **Shop and Office Employees Act No. 19 of 1954** and the **Employees' Provident Fund Act No. 15 of 1958**. Nexus ERP's integrated payroll engine automates all statutory calculations, ensuring zero non-compliance penalties.

2. Statutory Contribution Matrices: EPF & ETF

Statutory retirement fund contributions are calculated strictly on **Total Qualifying Earnings** (Basic Salary + Cost of Living Allowances + Budgetary Relief Allowances). Overtime and discretionary performance bonuses are excluded from EPF/ETF calculations.

Fund Name	Statutory Authority	Employee Deduction	Employer Contribution	Total Monthly Remittance
`EPF (Provident Fund)`	Central Bank of Sri Lanka (CBSL)	8.0% of Total Earnings	12.0% of Total Earnings	20.0% of Total Earnings
`ETF (Trust Fund)`	Employees' Trust Fund Board	0.0% (No deduction)	3.0% of Total Earnings	3.0% of Total Earnings
`Total Statutory Fund`	Combined Monthly Obligation	8.0% Deducted from Pay	15.0% Borne by Company	23.0% Remitted Total

Strict Remittance Deadlines

Monthly EPF contributions must be remitted to the Central Bank of Sri Lanka on or before the last working day of the subsequent month (accompanied by monthly EPF Form C returns). Late remittances incur automatic surcharge penalties ranging from 5% to 50% depending on delay duration.

3. Advance Personal Income Tax (APIT) Deductions

Under Inland Revenue Department (IRD) regulations, employers are mandated to withhold APIT from monthly employment earnings exceeding statutory relief thresholds:

Monthly Earnings Tier (LKR)	Tax Rate (%)	Tax on Tier (LKR)	Cumulative Tax (LKR)
First LKR 100,000 (Tax Free Allowance)	0% Exempt	LKR 0.00	LKR 0.00
Next LKR 41,667 (100,001 - 141,667)	6%	LKR 2,500.00	LKR 2,500.00
Next LKR 41,667 (141,668 - 183,333)	12%	LKR 5,000.00	LKR 7,500.00
Next LKR 41,667 (183,334 - 225,000)	18%	LKR 7,500.00	LKR 15,000.00
Next LKR 41,667 (225,001 - 266,667)	24%	LKR 10,000.00	LKR 25,000.00
Next LKR 41,667 (266,668 - 308,333)	30%	LKR 12,500.00	LKR 37,500.00
Balance Exceeding LKR 308,333	36% Maximum	36% on excess	Cumulative

4. Overtime (OT) & Working Hour Calculations

Standard working hours under the Shop & Office Act are **8 hours per day / 45 hours per week**. Work performed beyond standard hours must be remunerated at minimum statutory overtime rates:

Hourly Rate Formula: `Hourly Rate = (Basic Monthly Salary / 240)`

Normal Overtime (1.5x): `Overtime Hourly Rate = Hourly Rate x 1.5`

Poya Day & Mercantile Holiday: Must be paid at full basic salary plus an additional full day's wage (or substituted with an alternative paid holiday within the calendar year).

5. Monthly Statutory Compliance Checklist

[✓] Verify that total qualifying earnings include basic salary plus all fixed monthly allowances.
[✓] Deduct 8% employee EPF contribution from net salary payslip.
[✓] Accrue 12% employer EPF contribution and 3% employer ETF contribution.
[✓] Compute APIT withholding using the progressive tax tier schedule for earnings > LKR 100,000.
[✓] Export and submit the CBSL electronic EPF Form C file on or before month end.
[✓] Issue itemized digital payslips with clear breakdown of gross pay, deductions, and net pay.